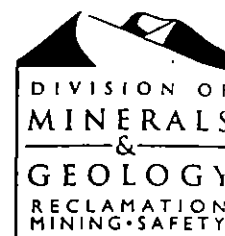




999

STATE OF COLORADO

DIVISION OF MINERALS AND GEOLOGY
Department of Natural Resources1313 Sherman St., Room 215
Denver, Colorado 80203
Phone: (303) 866-3567
FAX: (303) 832-8106

July 08, 1999

RECEIVED

SEP 13 1999

Division of Minerals & Geology

Southdown, Inc.
P. O. Box 529
Lyons, CO 80540Bill Owens
GovernorGreg E. Walcher
Executive DirectorMichael B. Long
Division Director**112c ANNUAL FEE INVOICE and REPORT REQUEST**
CONSTRUCTION MATERIALS OPERATION**PLEASE READ CAREFULLY**

ANNUAL FEES ARE NOT PERMIT RENEWAL FEES, they are fees for having a reclamation permit in the State of Colorado and are required by Colorado Statutes. You must pay these fees each year until reclamation responsibility release is granted. The fee listed below is for LAST YEARS mining and reclamation season, and MUST be paid even if your operation was in an inactive state. The fee is due ON OR BEFORE the permit anniversary date shown below.

If you have requested reclamation responsibility release from the Division but your permit is not released by your anniversary date listed below, the annual fee MUST be paid. If the permit is released before the anniversary date, please do not pay the annual fee.

PLEASE NOTE: IF THE ANNUAL FEE, ANNUAL REPORT, AND MAP ARE NOT RECEIVED ON OR BEFORE THE ANNIVERSARY DATE, A FORMAL NOTICE OF VIOLATION, AND A BOARD ORDER TO PAY CIVIL PENALTIES IN THE AMOUNT EQUAL TO THE ANNUAL FEE OF \$550.00 WILL BE AUTOMATICALLY ASSESSED. NO PERMITS FOR NEW MINING OPERATIONS SHALL BE GRANTED TO ANY OPERATOR WHO IS CURRENTLY FOUND TO BE IN VIOLATION IN THIS STATE (C.R.S. 34-32.5-120) UNTIL THE VIOLATION IS ABATED.

Division records indicate \$550.00 is due.

Permit No. :	M-77-341
Operation Name:	Larimer County Quarry
Anniversary Date:	September 08, 1999
Total:	\$550.00 (Due on your Anniversary Date)

If your records indicate different facts than those stated above please notify the Division office.

Please return the enclosed annual report FORM, a MAP, and CHECK or MONEY ORDER made payable to the Division of Minerals and Geology, 1313 Sherman Street, Room 215, Denver, Colorado 80203. Thank you for your cooperation in this matter.

ANNUAL REPORT

PAID

PERMITTEE NAME: Southdown, Inc.

PERMIT NO.: M-77-341

OPERATION NAME: Larimer County Quarry

ANNIVERSARY DATE: September 08, 1999

ANNUAL FEE DUE ON ANNIVERSARY DATE: \$550.00

COUNTY: Larimer

RECEIVED

SEP 13 1999

Division of Minerals & Geology

According to C.R.S. 34-32-116(3)(a), each year, on the anniversary date of the permit, an operator shall submit the annual fee, a report and map showing the extent of current disturbances to affected land, reclamation accomplished to date and during the preceding year, new disturbances that are anticipated to occur during the upcoming year, reclamation that will be performed during the coming year, the dates for the beginning of active operations, and the date active operations ceased for the year, if any.

Please attach your revised annual report map and written report to this annual report. Please note that an adequately labeled map that clearly delineates and includes the above elements may suffice for a written report.

Please type or print the current contact person's name, mailing address, and phone number in the space provided:

Contact Name: JOHN LOHR

Company: SOUTHDOWN, INC

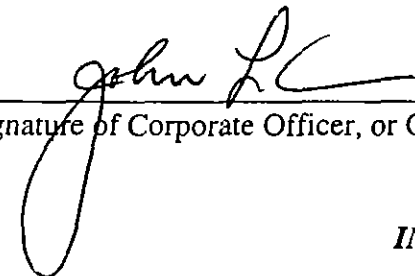
Address: 5134 UTE HIGHWAY

Phone No.: (303) 823-2109

LYONS, CO 80540

Fax No.: (303) 823-2199

If there are additional comments and/or information that should be provided to the Division, please provide it on a separate sheet and attach it to this report form along with your map and/or written report.


Signature of Corporate Officer, or Owner

9/9/99
Date

INSTRUCTIONS ON BACK

ANNUAL RECLAMATION REPORT

PARISH QUARRY, LARIMER COUNTY, COLORADO PERMIT NO. M-77-341 1998-1999

The purpose of this report is to comply with the Mined Land Reclamation Act of 1976, Statute 34-32-112 of House Bill No. 1065. This report follows the requirements covering annual reports in the Rules and Regulations of Colorado Mined Land Reclamation Board, Section 2.4. The permit for the Larimer County Quarry was issued on June 4, 1978 and amended on September 25, 1987 to include the Parrish Quarry.

Reclamation is complete for the Parrish Quarry. The reclaimed areas have been seeded with a dry land pasture mix which includes:

- 39% winter rye
- 13% ranger alfalfa
- 9% smooth brome
- 8% intermediate wheat grass
- 7% slender wheat grass
- 8% Nordan crested wheat grass
- 6% Russian wild rice
- 10% Jose tall wheat grass

All areas are experiencing growth but have not been released from bond to date.

THERE HAVE BEEN NO CHANGES FROM THE LAST REPORT, THEREFORE, NO MAP IS INCLUDED WITH THIS REPORT.